

3.4 SHORT RUN OR LONG RUN?

MARKING SCHEME

1994/CE/II/22 C	2000/CE/II/16 B	2006/CE/II/19 B (55%)	2009/CE/II/19 D (66%)	2019/DSE/I/05 D
1996/CE/II/24 A	2001/CE/II/17 C	2007/CE/II/19 A (42%)	2013/DSE/I/03 D (45%)	2020/DSE/I/ D
1997/CE/II/15 A	2005/CE/II/19 C	2008/CE/II/18 D (78%)	2013/DSE/I/04 B (82%)	

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1993/CE/I/1(b)

Law of diminishing (marginal) returns

(2)

The law states that as more variable factors are added (successively) to the fixed factors, marginal output will (eventually) diminish.

(3)